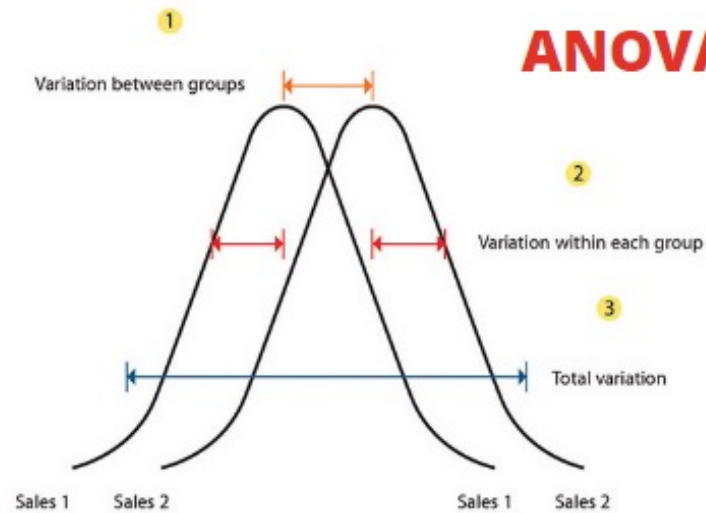


Week 7 – Seminar: ANOVA



Sales 1	Sales 2
150	170
155	162
157	177
145	192
130	184
170	169
165	155

Two sample groups
of sales data

Recall from lectures...

ANOVA: stands for **Analysis of Variance**. It is essentially a measure of the goodness of fit of a model.

- Assume we would like to test whether all the colleges have the same mean simultaneously and have an overall significance level of 5%. This is the ANOVA test.
- The ANOVA test considers the variation between the groups involved compared to the variation within the groups.

• ANOVA follows the same thought process as before:

1. Null Hypothesis: all means are equal
2. Alternative Hypothesis: not all means equal simultaneously
3. Critical Value = 5.14
4. Test Statistic $F = mSSG/mSSR$

➤ Decision Rule

Height	College
1.56	A
1.78	V
1.54	C
1.70	D
1.70	J
1.83	H
1.73	G
1.63	L

Recall from lectures...

Some Background:

- ANOVA looks at some measure of variation of the data taking all the data points together, and splits that up into two types.
 - a) Variation *between* the group means (a.k.a. actual differences between the groups, a **signal**)
 - b) Other variation, *within* the groups, put down to “errors” at this stage (a.k.a. **noise**)

Remember:

- ❖ The **more different the means**, the **bigger the signal** and the easier it is to see that they are actually different. This is **good for us**.
- ❖ The **more spread out the groups**, the **bigger the noise** and the harder it is to be certain where the means should be (*why? more spread $\Rightarrow$ larger $s \Rightarrow$ wider confidence interval*). This is **not helpful** for us.



Recall from lectures...

An Example:

Data	Group	→				Group	Data			
2	A					A	2	4		
4	A					B	4	5	6	
4	B					C	2	3	9	10
5	B									
6	B									
2	C									
3	C									
9	C									
10	C									

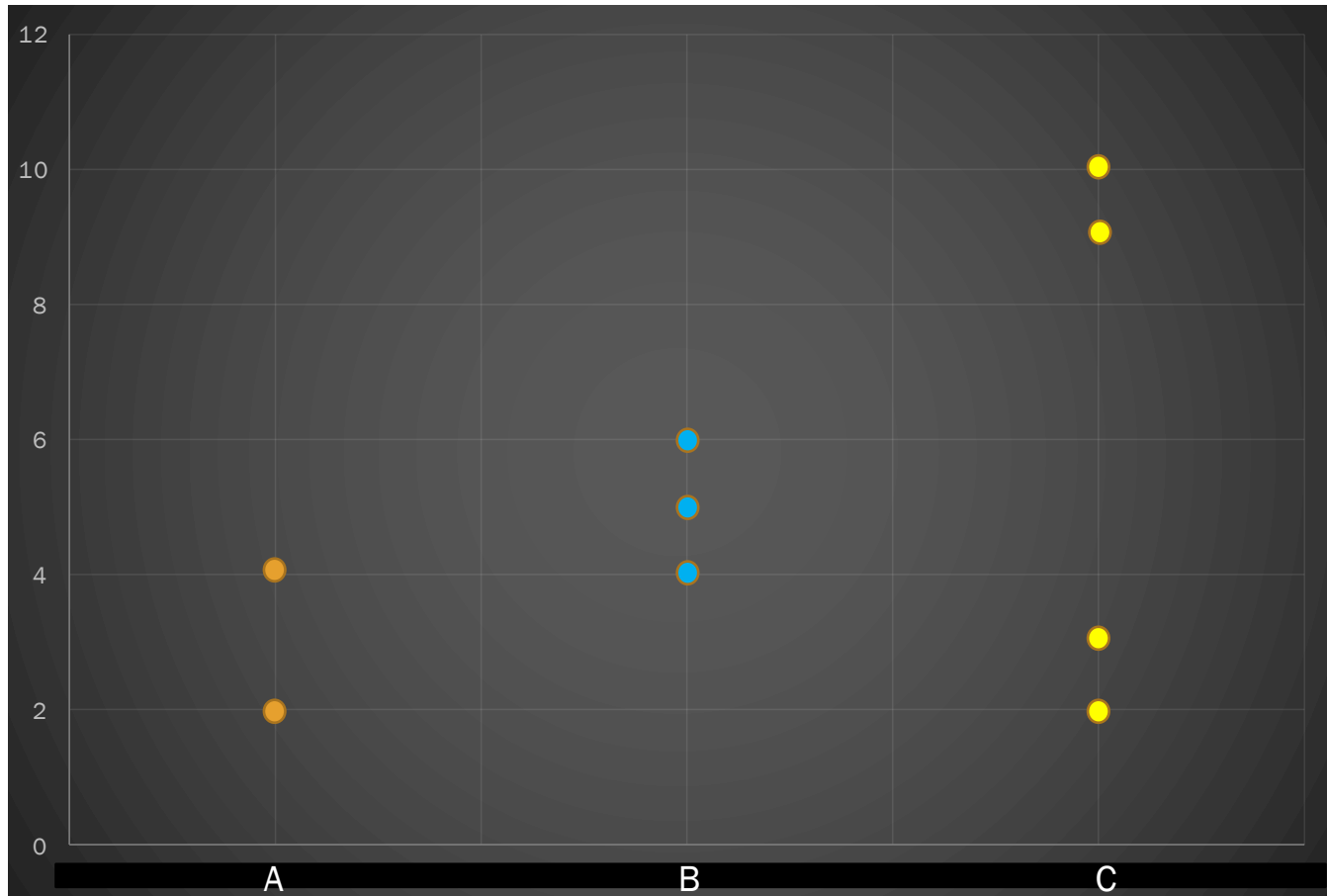
1. Our **null hypothesis** (our assumption) is that each group **should have the same mean**. That is:

$$H_0: \mu_A = \mu_B = \mu_C$$

2. Our **alternative** is that H_0 is not the case. Hence, $H_1: H_0 \text{ is not true}$

Note, we might have $\mu_A = \mu_B \neq \mu_C$, or $\mu_A \neq \mu_B = \mu_C$, or $\mu_A = \mu_C \neq \mu_B$. All we would know is that they are not all the same.

Recall from lectures...



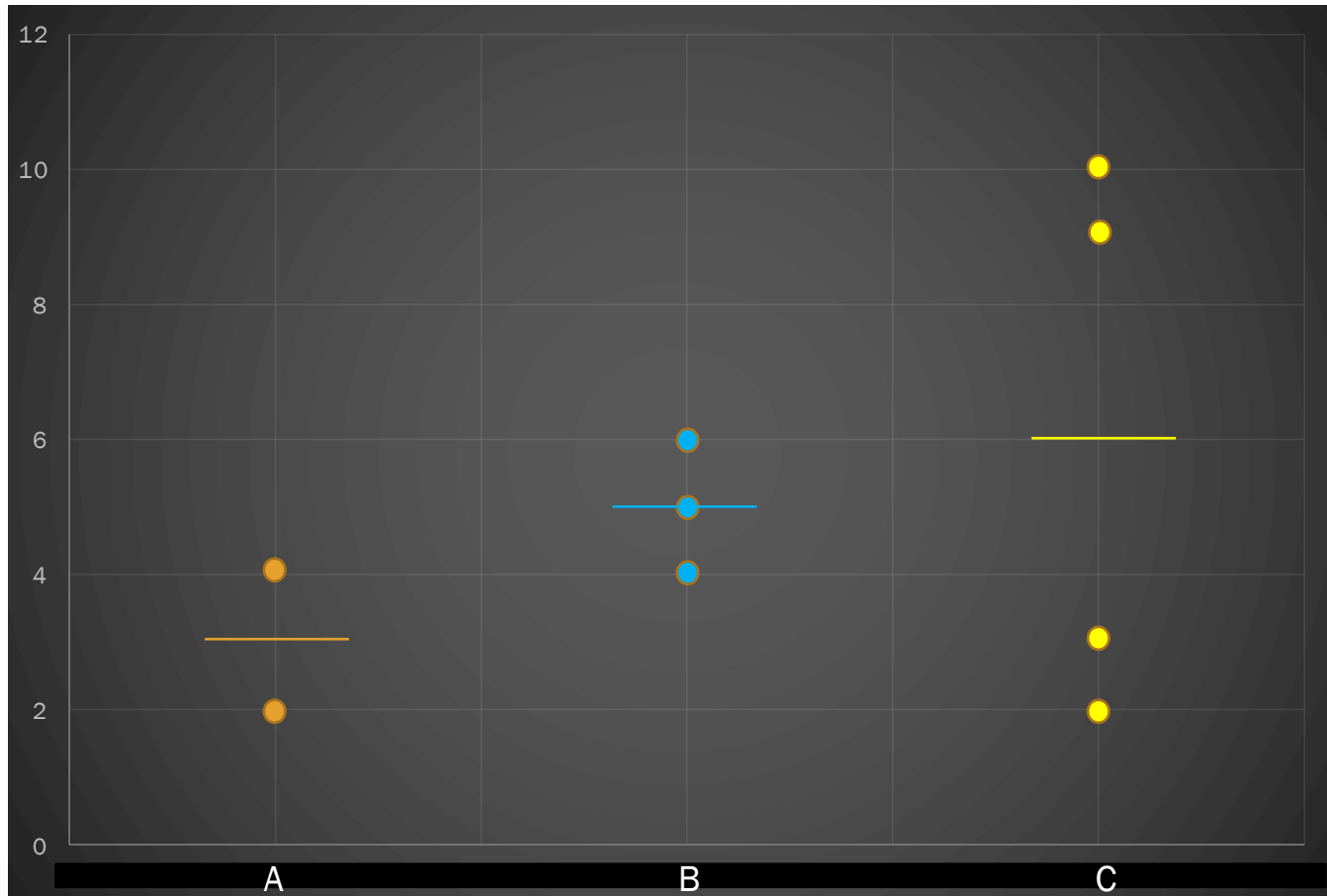
Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Group	Data
A	2 4
B	4 5 6
C	2 3 9 10

Signal

1. Group Mean
2. Grand Mean = 5
3. Group mean – grand mean

Recall from lectures...



Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

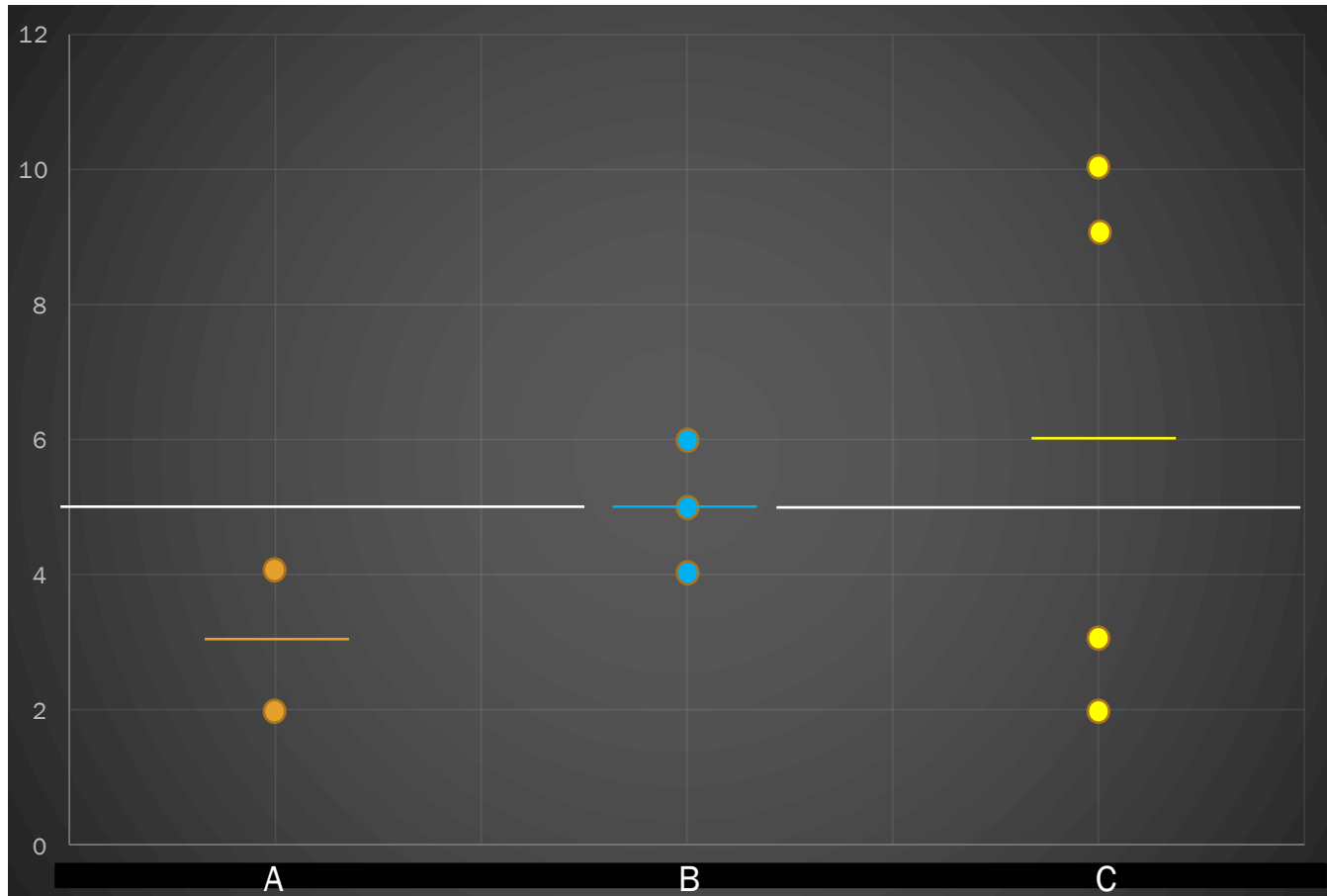


Group	Data			
A	2	4		
B	4	5	6	
C	2	3	9	10

Signal

1. **Group Mean**
2. Grand Mean = 5
3. Group mean – grand mean

Recall from lectures...



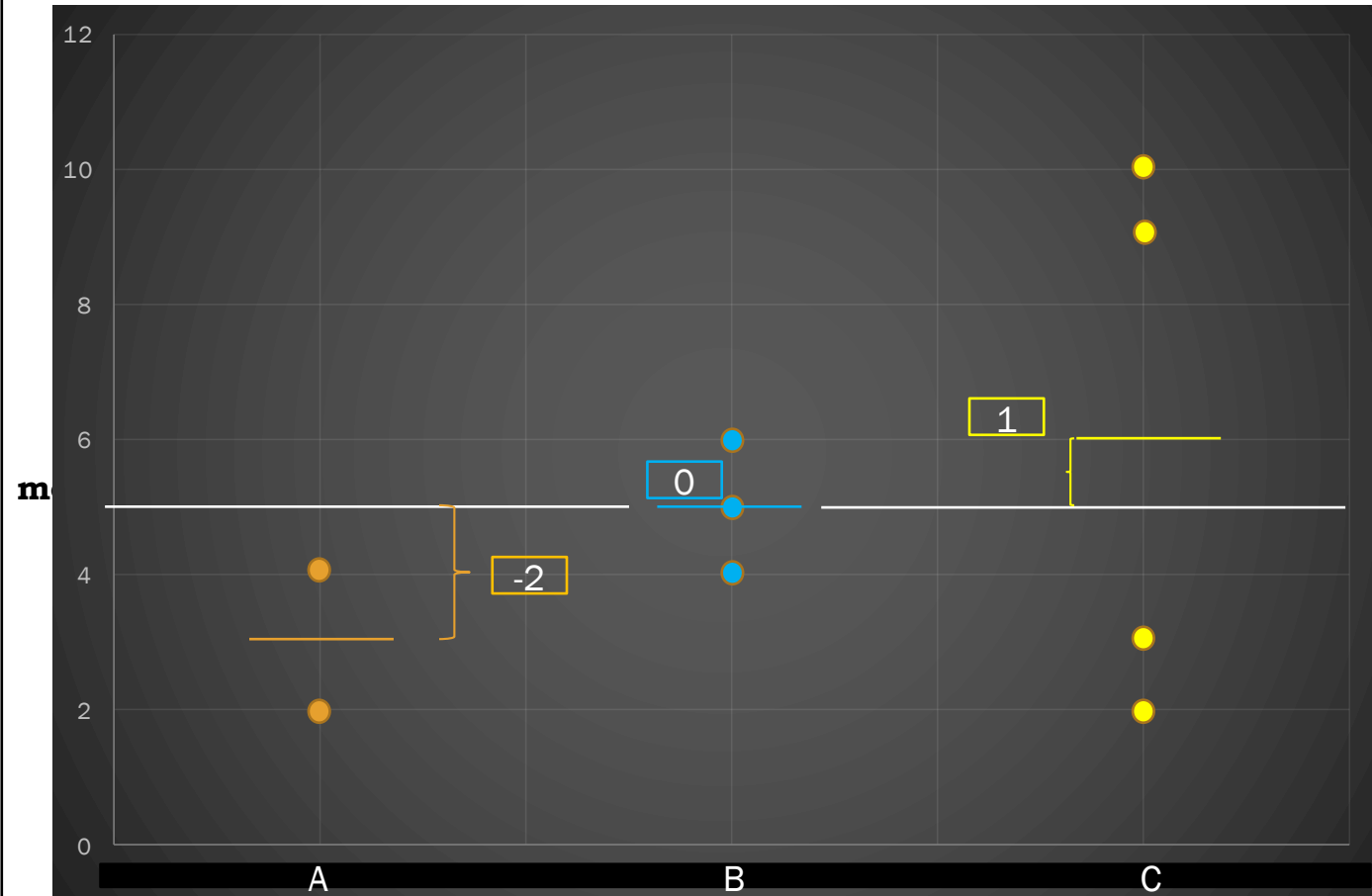
Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Group	Data
A	2 4
B	4 5 6
C	2 3 9 10

Signal

1. Group Mean
2. **Grand Mean = 5**
3. Group mean – grand mean

Recall from lectures...



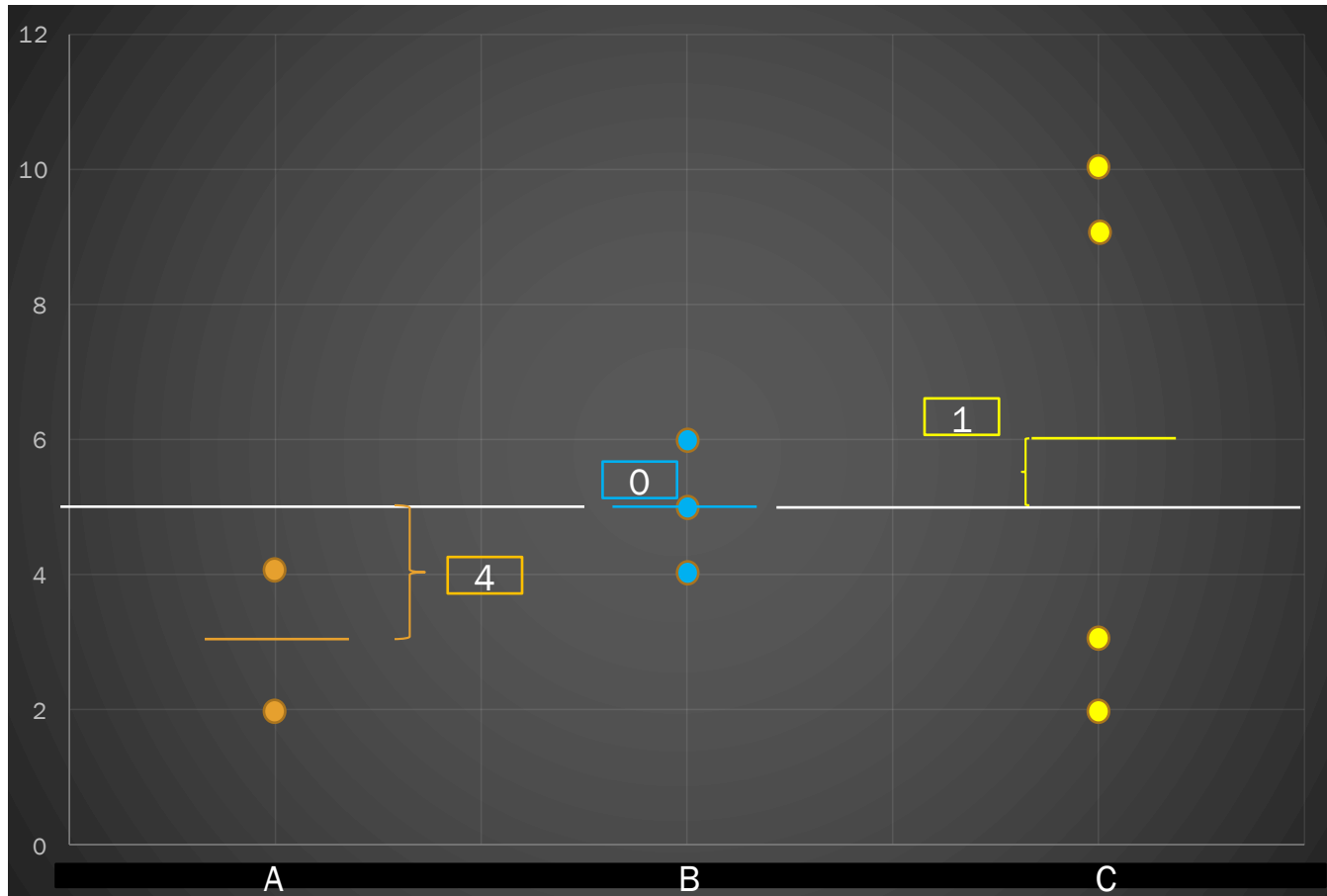
Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Signal

Group	Data			
A	2	4		
B	4	5	6	
C	2	3	9	10

1. Group Mean
2. Grand Mean = 5
3. **Group mean - grand**

Recall from lectures...



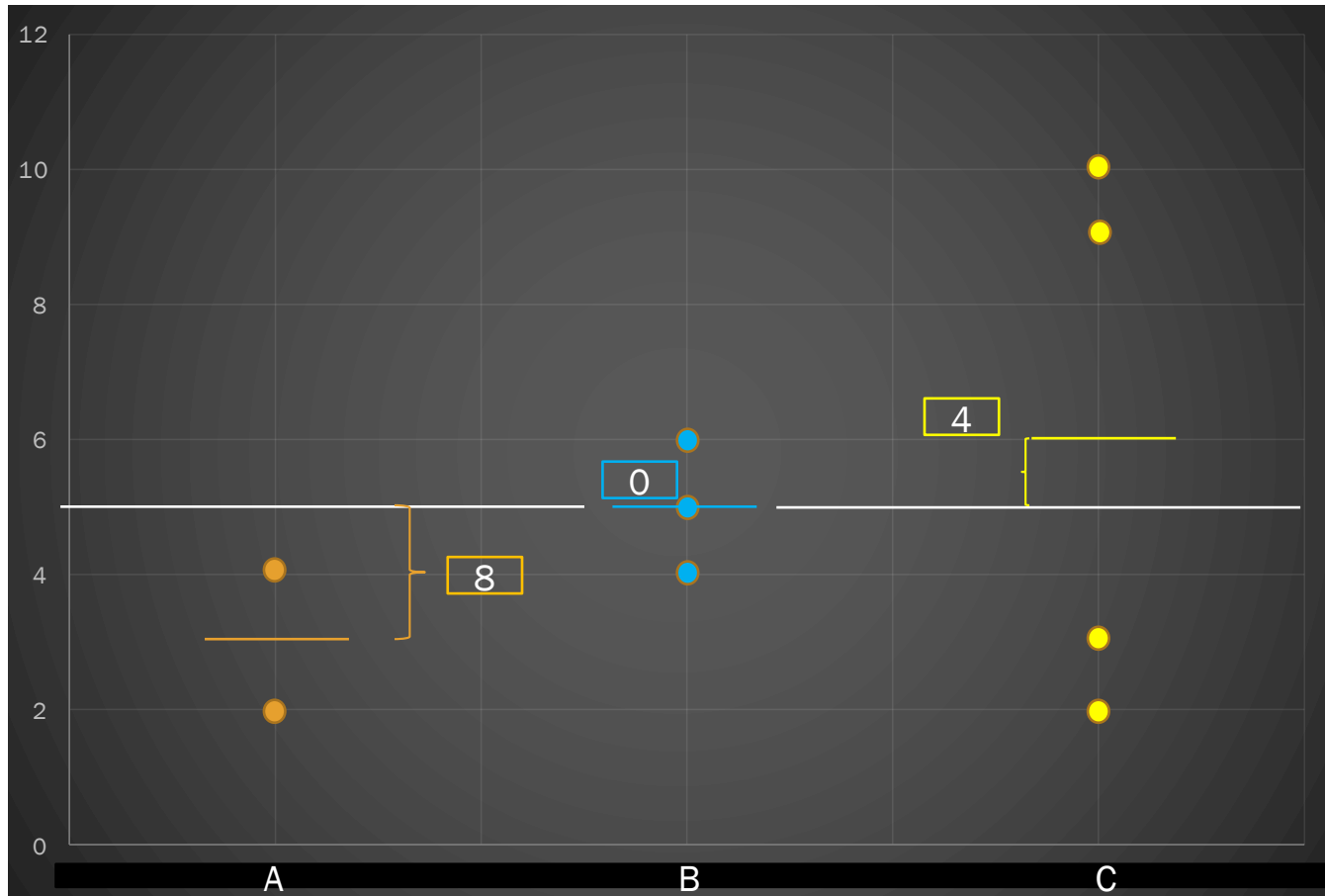
Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Signal

Group	Data			
A	2	4		
B	4	5	6	
C	2	3	9	10

1. Group Mean
2. Grand Mean = 5
3. Group mean – grand mean
4. **Square the distances**

Recall from lectures...



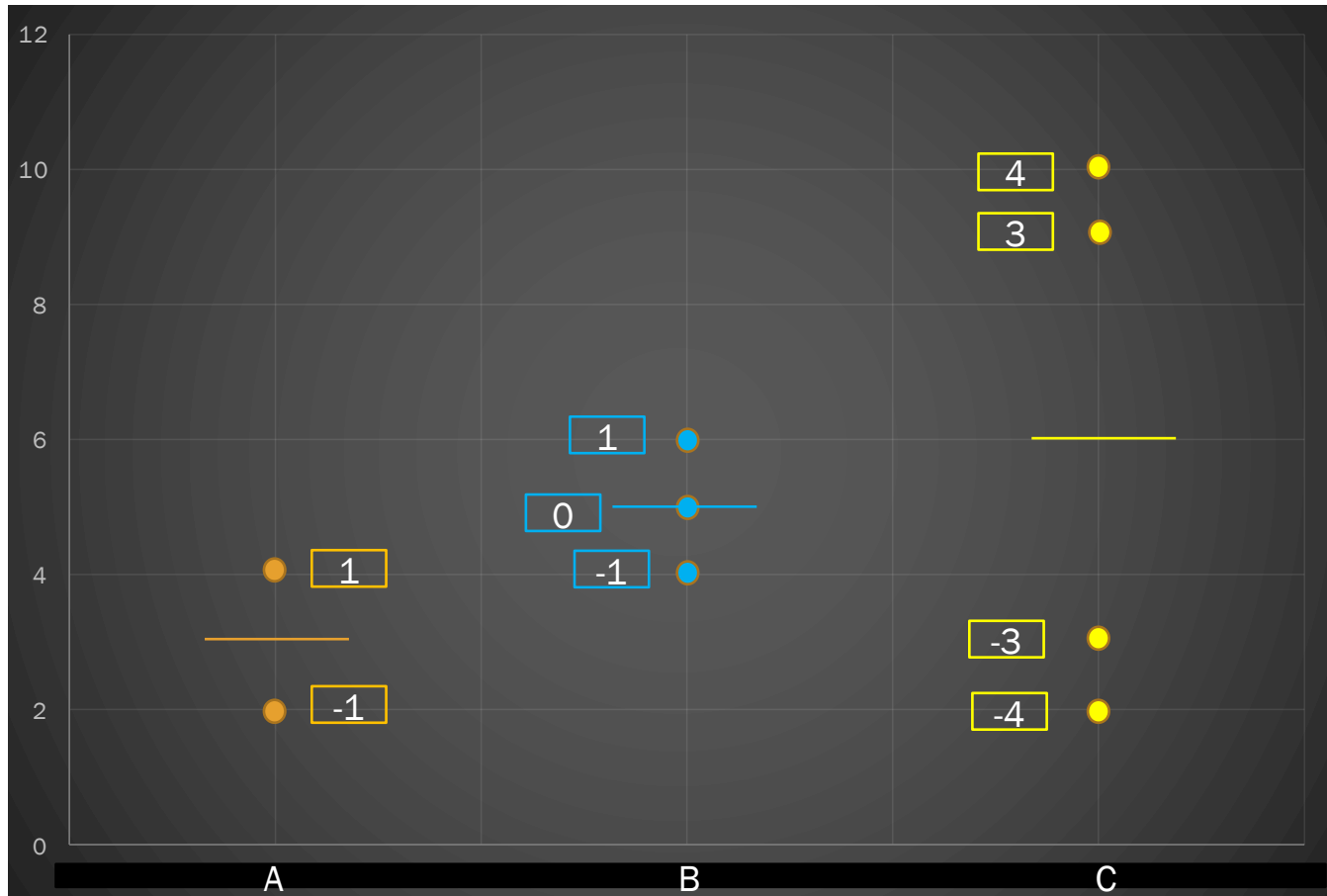
Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Group	Data
A	2 4
B	4 5 6
C	2 3 9 10

Signal

1. Group Mean
2. Grand Mean = 5
3. Group mean – grand mean
4. Square the distances
5. take each **squared distance** for each datapoint, that's **twice**, **three times**, and **four**
6. Sum to get **signal** = 12

Recall from lectures...

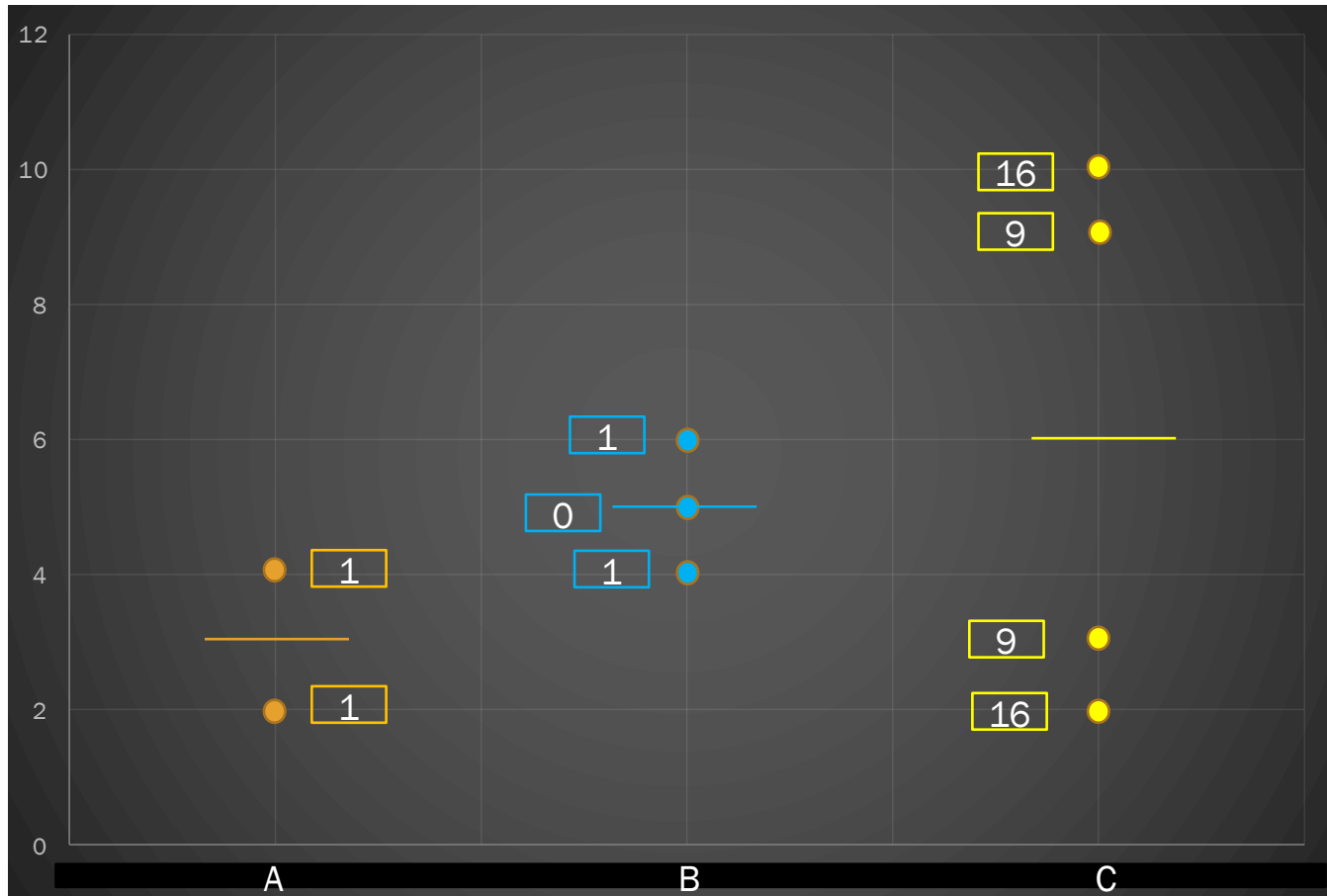


Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Noise

1. Look at the **distances** from the group mean
2. Square the distances

Recall from lectures...

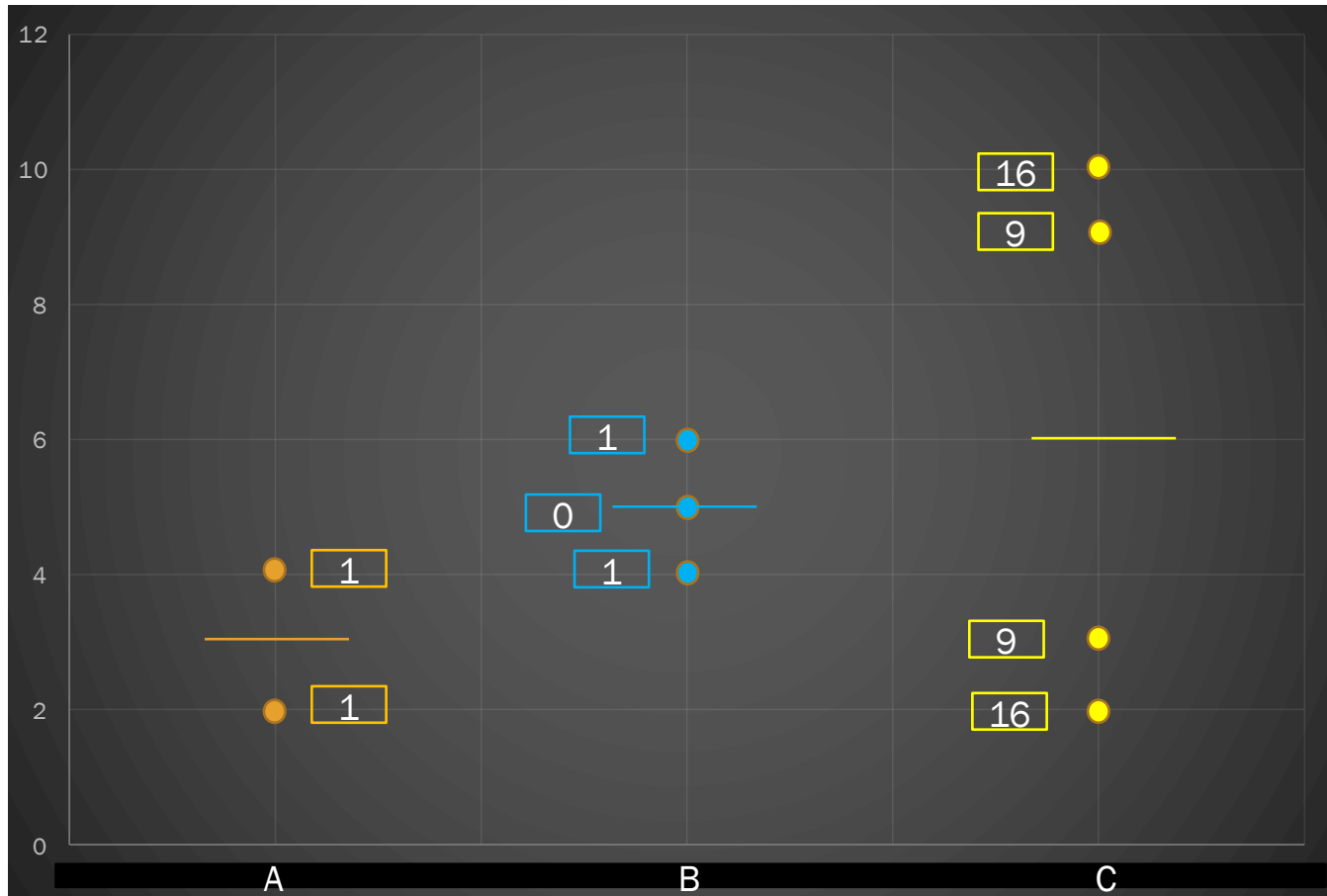


Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Noise

1. Look at the distances from the group mean
2. **Square the distances**

Recall from lectures...



Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Noise

1. Look at the distances from the group mean
2. Square the distances
3. **Sum to get noise = 54**

Recall from lectures...

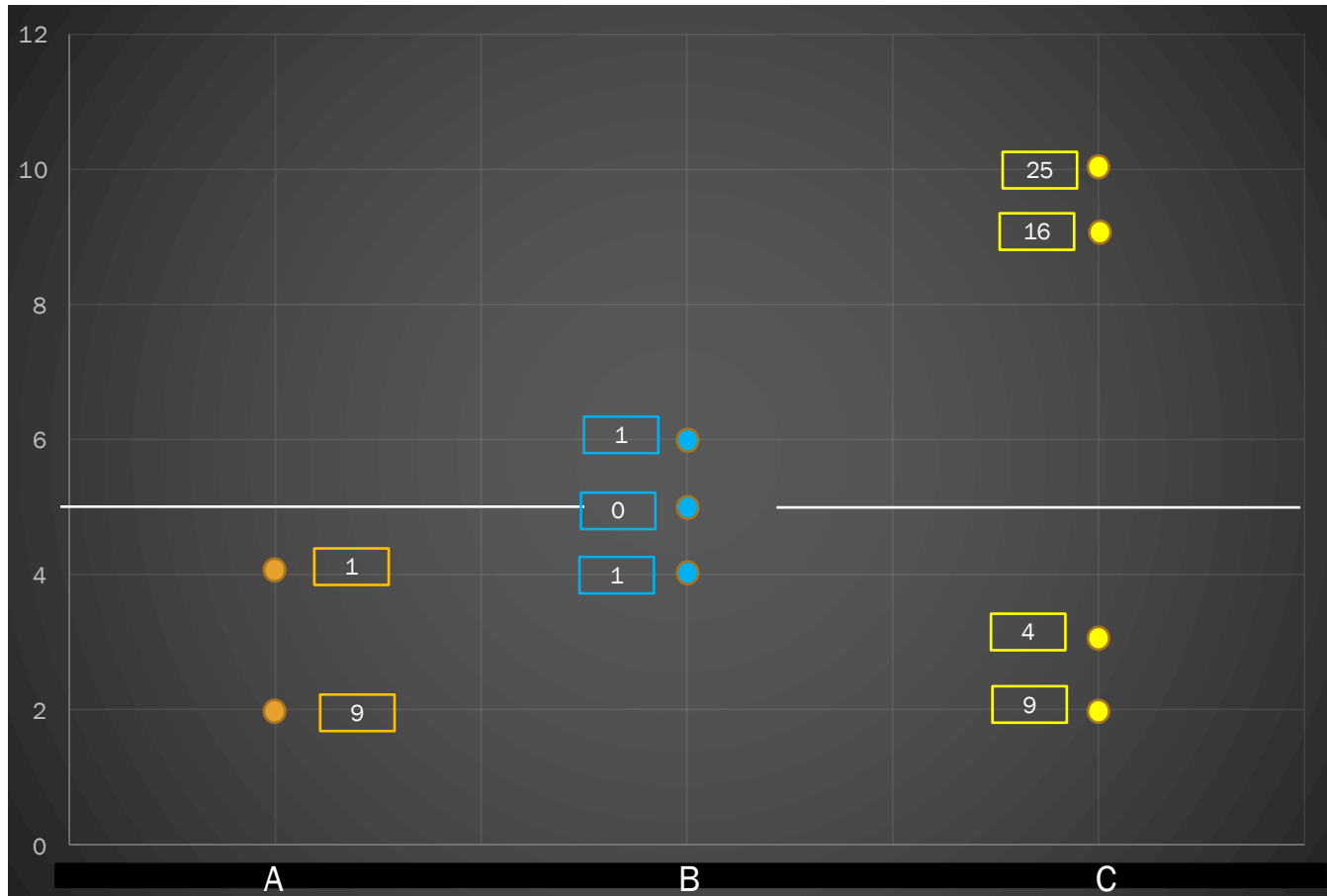
An Example:

Data	Group	Group	Data			
2	A	A	2	4		
4	A	B	4	5	6	
4	B	C	2	3	9	10
5	B					
6	B					
2	C					
3	C					
9	C					
10	C					

Hence, **Total** = Signal + Noise = 12 + 54 = 66.

❖ We can also calculate directly the total, that is the sum of the squared distances from the grand mean

Recall from lectures...



Data	Group
2	A
4	A
4	B
5	B
6	B
2	C
3	C
9	C
10	C

Total

1. distance from grand mean
2. square the distances, sum
3. Total = 66

Recall from lectures...

Source	SS	df	MSS	F
Groups (Signal)	12			
Errors (Noise)	54			
Total	66			

Which doesn't look good for the signal.

- I have three groups, thus I have 2 degrees of freedom
- I have 2 datapoints in group A, so can set 1 where I want: 1 df. I also have 3 in group B, so can set 2, so 2 df. Finally, I also have 4 in C, so can set 3, so 3 df.

Recall from lectures...

Source	SS	df	MSS	F
Groups (Signal)	12	2		
Errors (Noise)	54	6		
Total	66			

Which doesn't look good for the signal.

- I have three groups, thus I have 2 degrees of freedom
- I have 2 datapoints in group A, so can set 1 where I want: 1 df. I also have 3 in group B, so can set 2, so 2 df. Finally, I also have 4 in C, so can set 3, so 3 df.
- Total = 8 (we already know that; since we have 9 datapoints in total, $n-1 = 8$)

Recall from lectures...

Source	SS	df	MSS	F
Groups (Signal)	12	2		
Errors (Noise)	54	6		
Total	66	8		

Which doesn't look good for the signal.

- I have three groups, thus I have 2 degrees of freedom
- I have 2 datapoints in group A, so can set 1 where I want: 1 df. I also have 3 in group B, so can set 2, so 2 df. Finally, I also have 4 in C, so can set 3, so 3 df.
- Total = 8 (we already know that; since we have 9 datapoints in total, $n-1 = 8$)
- We divide our measures (the Sums of Squares (SS)) by the degrees of freedom. This gives the Mean Sums of Squares (MSS), a better measure of signal and noise.

Recall from lectures...

Source	SS	df	MSS	F
Groups (Signal)	12	2	6	
Errors (Noise)	54	6	9	
Total	66	8		

Which doesn't look good for the signal.

- I have three groups, thus I have 2 degrees of freedom
- I have 2 datapoints in group A, so can set 1 where I want: 1 df. I also have 3 in group B, so can set 2, so 2 df. Finally, I also have 4 in C, so can set 3, so 3 df.
- Total = 8 (we already know that; since we have 9 datapoints in total, $n-1 = 8$)
- We divide our measures (the Sums of Squares (SS)) by the degrees of freedom. This gives the Mean Sums of Squares (MSS), a better measure of signal and noise.
- We compare the signal to the noise. How? $MSS_{\text{signal}}/MSS_{\text{noise}}$

Recall from lectures...

Source	SS	df	MSS	F
Groups (Signal)	12	2	6	0.667
Errors (Noise)	54	6	9	
Total	66	8		

Which doesn't look good for the signal.

- I have three groups, thus I have 2 degrees of freedom
- I have 2 datapoints in group A, so can set 1 where I want: 1 df. I also have 3 in group B, so can set 2, so 2 df. Finally, I also have 4 in C, so can set 3, so 3 df.
- Total = 8 (we already know that; since we have 9 datapoints in total, $n-1 = 8$)
- We divide our measures (the Sums of Squares (SS)) by the degrees of freedom. This gives the Mean Sums of Squares (MSS), a better measure of signal and noise.
- We compare the signal to the noise. How? $MSS_{\text{signal}}/MSS_{\text{noise}}$
- This process gives us the test statistic, called F!
- We compare the TS with critical value to decide if we reject the null or not.

Recall from lectures...

In practise: SPSS output!

ANOVA

Height (m)

	Sum of Squares	df	Mean Square	F	Sig.
Between Groups	.117	7	.017	1.040	.406
Within Groups	2.427	151	.016		
Total	2.544	158			

Question 1

ANOVA looks at:

1. the difference of means over a standard deviation.
2. the (weighted) variance between groups compared to the (weighted) variance within groups.
3. whether a coefficient is significantly different from 0.
4. two continuous variables against a straight line.

Question 1

ANOVA looks at:

1. the difference of means over a standard deviation.
2. **the (weighted) variance between groups compared to the (weighted) variance within groups.**
3. whether a coefficient is significantly different from 0.
4. two continuous variables against a straight line.

Question 2

A piece of research produces the following data:

Group A	31	15	14	21	35
Group B	26	25	43		
Group C	29	37	19	16	

What is the contribution to SSE (the Sum of Squares Errors - also known as "Within Groups") of Group C?



Question 2

A piece of research produces the following data:

Group A	31	15	14	21	35
Group B	26	25	43		
Group C	29	37	19	16	

What is the contribution to SSE (the Sum of Squares Errors - also known as "**Within Groups**") of **Group C**?

We focus on group C. We need no^2



Question 2

A piece of research produces the following data:

Group A	31	15	14	21	35
Group B	26	25	43		
Group C	29	37	19	16	

What is the contribution to SSE (the Sum of Squares Errors - also known as "Within Groups") of Group C?

We focus on group C. We need $n\sigma^2$ for C

1. Calculate the variance: $\sigma^2 = 69.1875$
2. $n\sigma^2 = 4 * 69.1875 = 276.75$

•Note that for the overall SSE we do the same for A and B and then sum



Question 3

A piece of research produces the following data:

Group A	2	3	9	10
---------	---	---	---	----

Group B	2	4
---------	---	---

Group C	4	5	6
---------	---	---	---

What is SSG (the Sum of Squares Groups - also known as "Between Groups")?



Question 3

A piece of research produces the following data:

Group A	2	3	9	10
Group B	2	4		
Group C	4	5	6	

What is SSG (the **Sum of Squares Groups** - also known as "**Between Groups**")?

1. Calculate **the mean of each group**:



Question 3

A piece of research produces the following data:

Group A 2 3 9 10

Group B 2 4

Group C 4 5 6

What is SSG (the **Sum of Squares Groups** - also known as "**Between Groups**")?

1. Calculate the mean of each group: $\bar{x}_A = 6$, $\bar{x}_B = 3$, $\bar{x}_C = 5$

2. Calculate the variance from:

$\bar{x}$	frequency
6	4
3	2
5	3

$\sigma^2 =$



Question 3

A piece of research produces the following data:

Group A 2 3 9 10

Group B 2 4

Group C 4 5 6

What is SSG (the Sum of Squares Groups - also known as "Between Groups")?

1. Calculate the mean of each group: $\bar{x}_A = 6$, $\bar{x}_B = 3$, $\bar{x}_C = 5$

2. Calculate the variance from:

$\bar{x}$	frequency
6	4
3	2
5	3

$$\sigma^2 = 1.33$$

3. Calculate $n\sigma^2 =$



Question 3

A piece of research produces the following data:

Group A	2	3	9	10
Group B	2	4		
Group C	4	5	6	

What is SSG (the Sum of Squares Groups - also known as "Between Groups")?

1. Calculate the mean of each group: $\bar{x}_A = 6$, $\bar{x}_B = 3$, $\bar{x}_C = 5$

2. Calculate the variance from:

$\bar{x}$	frequency
6	4
3	2
5	3

$$\sigma^2 = 1.33$$

3. Calculate $n\sigma^2 = 9 \times 1.33 = 11.97$



Question 4

A piece of research produces the following data:

Group A	21	19	39	17	48
Group B	28	44	20		
Group C	35	39	23	32	

What is SST (the Sum of Squares Total)?



Question 4

A piece of research produces the following data:

Group A	21	19	39	17	48
Group B	28	44	20		
Group C	35	39	23	32	

What is SST (the Sum of Squares **Total**)?

• $n\sigma^2 =$



Question 4

A piece of research produces the following data:

Group A	21	19	39	17	48
Group B	28	44	20		
Group C	35	39	23	32	

What is SST (the Sum of Squares Total)?

• $n\sigma^2 = 12 \times 102.743 = 1,232.917$



Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?



Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

- **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

- **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.
- To find SSE we need the σ^2 of each group. Hence,
- $\sigma_A^2 = ?$, $\sigma_B^2 = ?$, $\sigma_C^2 = ?$

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

- **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.
- To find SSE we need the $n\sigma^2$ of each group. Hence,
- $\sigma_A^2 = 65.84$, $\sigma_B^2 = 98$, $\sigma_C^2 = 28.18$
- $n\sigma_A^2 = ?$, $n\sigma_B^2 = ?$, $n\sigma_C^2 = ?$. Hence. SSE = ?

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

- **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.
- To find SSE we need the $n\sigma^2$ of each group. Hence,
- $\sigma_A^2 = 65.84$, $\sigma_B^2 = 98$, $\sigma_C^2 = 28.18$
- $n\sigma_A^2 = 329.2$, $n\sigma_B^2 = 294$, $n\sigma_C^2 = 112.72$. Hence. $SSE = 735.92$
- $df_E = 12 - 3 = 9$, $df_G = 3 - 1 = 2$

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

- **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.
- $SSE = 735.92$, $df_E = 12 - 3 = 9$, $df_G = 2$
- For the SSG, we need to calculate the mean of each group: $\bar{x}_A = 22.6$, $\bar{x}_B = 30$, $\bar{x}_C = 28.25$. Then, we calculate $n\sigma^2$ of these three datapoints with frequencies 5, 3, and 4 respectively.

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

• **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.

• $SSE = 735.92$, $df_E = 12 - 3 = 9$, $df_G = 2$

• For the SSG, we need to calculate the mean of each group: $\bar{x}_A = 22.6$, $\bar{x}_B = 30$, $\bar{x}_C = 28.25$. Then, we calculate $n\sigma^2$ of these three datapoints with frequencies 5, 3, and 4 respectively.

• $SSG = ?$

X	frequency
22.6	5
30	3
28.25	4

Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

• **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.

• $SSE = 735.92$, $df_E = 12 - 3 = 9$, $df_G = 2$

• For the SSG, we need to calculate the mean of each group: $\bar{x}_A = 22.6$, $\bar{x}_B = 30$, $\bar{x}_C = 28.25$. Then, we calculate $\sum (x - \bar{x})^2$ of these three datapoints with frequencies 5, 3, and 4 respectively.

X	frequency
22.6	5
30	3
28.25	4

• $SSG = 124.716$

• $TS =$



Question 5

A piece of research produces the following data:

Group A	36	17	27	13	20
Group B	19	28	43		
Group C	22	33	34	24	

What is the Test Statistic?

• **Remember:** $TS = \frac{SSG/df_G}{SSE/df_E}$, where SSG is Sum of Squares Groups, SSE Sum of Squares Errors, df_G is one fewer the number of groups, and df_E is the number of datapoints minus the number of groups.

• $SSE = 735.92$, $df_E = 12 - 3 = 9$, $df_G = 2$

• For the SSG, we need to calculate the mean of each group: $\bar{x}_A = 22.6$, $\bar{x}_B = 30$, $\bar{x}_C = 28.25$. Then, we calculate $\sum x^2$ of these three datapoints with frequencies 5, 3, and 4 respectively.

X	frequency
22.6	5
30	3
28.25	4

• $SSG = 124.716$

• $TS = \frac{124.716/2}{735.92/9} = 0.7626$

Question 6

Which of the following is a correct interpretation of the following SPSS output?

VAR00001

ANOVA					
	Sum of Squares	df	Mean Square	F	Sig.
Between Groups	40.100	2	20.050	.279	.759
Within Groups	1580.540	22	71.843		
Total	1620.640	24			

1. There were 24 datapoints.
2. Because $0.759 > 0.279$, we reject the null hypothesis and conclude that at least one group is significantly different from the rest.
3. There were 22 groups
4. We fail to reject the null hypothesis - no group seems to be significantly different

Question 6

Which of the following is a correct interpretation of the following SPSS output?

VAR00001

	Sum of Squares	df	Mean Square	F	Sig.
Between Groups	40.100	2	20.050	.279	.759
Within Groups	1580.540	22	71.843		
Total	1620.640	24			

1. There were 24 datapoints. (25 datapoints)
2. Because $0.759 > 0.279$, we reject the null hypothesis and conclude that at least one group is significantly different from the rest.
3. There were 22 groups (3 groups)
4. **We fail to reject the null hypothesis - no group seems to be significantly different**

Sum up

1. SSE: we focus on each group $\Rightarrow$ find the variance of each group, then multiply by the sample size of the group $\Rightarrow$ sum all contributions
2. SSG: between groups spread $\Rightarrow$ find the mean of each group $\Rightarrow$ construct a table of the group means and the frequency of each mean $\Rightarrow$ calculate the variance of this table $\Rightarrow$ multiply the variance with the total number of datapoints
3. SST: total variation $\Rightarrow$ find the variance of all datapoints and multiply by the number of datapoints
4. Test Statistic

